BioSyent Inc. (TSX Venture: RX | dashboard id RX.V)

Valuation note | October 27, 2026 | Currency: CAD | Prepared for Drew Goldman, Magis Capital Partners

STANCE: WATCH - pass on new capital at CAD 16.61; not a short.

Base 7-yr IRR **9.4%** | Bear **1.4%** | Bull **13.5%** | Hurdle **15%**
15% base-case entry price (our calc): **CAD 12.41** (25% below the last close)

Key figure	Value	Source
Price (last close, Oct 26, 2026)	CAD 16.61	Repo valuation.json (inputs.price); Yahoo RX.V
Trailing owner cash, 12 months to Jun 30, 2026	CAD 11,035,136 (CFO 11,504,329 less capex + intangibles 469,193)	FS25 p8; FSQ2 p5; repo deep dive
Owner cash per diluted share	CAD 0.948921 (11,629,144 Q2-26 diluted weighted shares)	FSQ2 p4, Note 20 p21
Price / trailing owner cash	17.5x (owner-cash yield 5.7%)	Our arithmetic
Market cap at 16.61	About CAD 187.8M on 11,308,835 shares outstanding (Aug 20, 2026)	MDAQ2 p24; our arithmetic
Cash and investments (Jun 30, 2026)	CAD 12,236,790 (cash 5,692,243; ST 3,250,590; LT 3,293,957)	FSQ2 p3
Term loan / contingent consideration	CAD 2,000,000 / CAD 3,845,837	FSQ2 p3, Notes 5 and 15
2025 sales (TTM to Jun 30, 2026)	CAD 43,051,983 (CAD 55,674,672; Oral Science 4 months only)	FS25 p7; MDAQ2 p10
CEO ownership	René Goehrum 2,241,950 shares, 19.60% at Apr 6, 2026 record date	CIRC p17

Summary

- **What it is (fact).** A Canadian specialty pharma that in-licenses or buys products and sells them mostly in Canada (FeraMAX oral iron, Tibella, Cathejell, RepaGyn and others), plus a small international line (FeraMAX and Tibelia) and a legacy insecticide (Protect-It). On Mar 1, 2026 it bought Oral Science Inc., a Quebec dental and oral-health distributor, for a stated CAD 25.5M plus an earn-out and royalties [MDAQ2 p9; FSQ2 Note 5 p8-9].
- **Quality (fact).** Sales grew from CAD 31.6M (2023) to CAD 43.1M (2025); 2025 EBITDA CAD 12.1M and net income CAD 9.0M; capex plus intangible additions were CAD 0.47M over the trailing 12 months; about 3.4M shares retired for about CAD 26.5M since Dec 2018 [AR25 p4; MDAQ2 p17].
- **Price (judgment).** At 17.5x trailing owner cash, the repo base case (our assumptions: 6% growth for 5 years, 3% for 2, exit at 15x) gives 9.4% a year. Even the bull case (13.5%) misses the 15% hurdle. Net cash of about CAD 0.55/share is shown but not added; adding it lifts the base to about 10.0%, still short.
- **What would change the view.** A price near CAD 12.41 or below, or filings showing Oral Science adds durable owner cash above the four months already in the trailing figure with gross margin stabilizing. Thyconvi (approved May 19, 2026; full launch 2027) is an unmodelled option, not a forecast.
- **Key risks.** License returns (Combogesic was handed back), rising oral-iron competition, gross-margin compression after Oral Science, receivable concentration, and an earn-out with no disclosed formula.

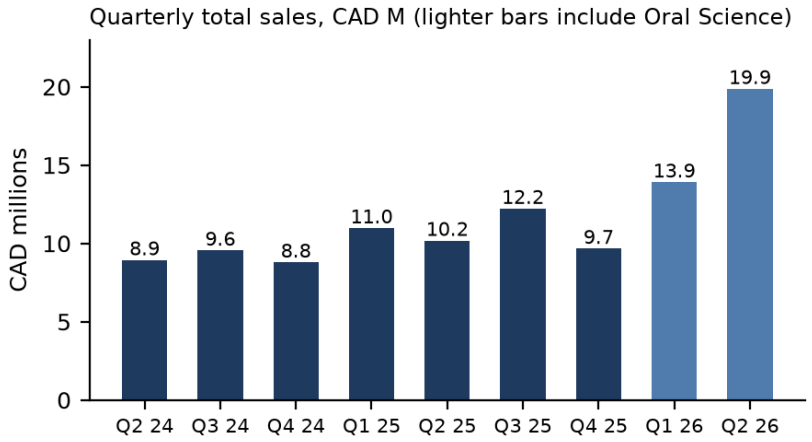
Facts are from the issuer PDFs or the repo; growth rates, exit multiples and the hurdle are Magis assumptions and are labelled as such. Page numbers are PDF page numbers of the files in /workspace/biosyent_docs/. Source keys are listed in the appendix.

1. Business and recent developments (facts from filings)

BioSyent reports three lines in 2026: Pharmaceutical, Oral Health (Oral Science, from Mar 1, 2026) and a legacy insecticide business (Protect-It). Q2 2026 external revenue was CAD 11,110,365 pharmaceutical, CAD 8,224,402 oral health and CAD 537,996 other; for the half year CAD 21,913,472, CAD 11,209,375 and CAD 658,098 [FSQ2 segment note p23]. Canadian pharma was 89% of pharmaceutical sales in Q2 2026 and grew 6% (FeraMAX +5%, Tibella +9%); the filings give percentages, not 2026 dollar splits [MDAQ2 p11].

CAD	2023	2024	2025	TTM Jun-26	Source
Total sales	31,590,302	35,030,897	43,051,983	55,674,672*	AR25 p4; MDAQ2 p10
Canadian pharma	n.d.	32,931,149	37,143,783	n.d.	MDA25 p13, p15
International pharma	n.d.	929,975	3,735,959 (Tibelia 2,389,277)	n.d.	MDA25 p13, p16
Legacy (Protect-It)	n.d.	1,169,773	2,172,241	2,139,789	MDA25 p13, p16; MDAQ2 p10
Gross profit	25,597,943	27,856,073	32,963,028	n.d.	AR25 p4
EBITDA (company measure)	7,926,478	9,343,012	12,122,756	n.d.	AR25 p4; MDA25 p21
Net income after tax	6,460,127	7,270,104	9,012,232	n.d.	AR25 p4; MDA25 p21
Diluted EPS (CAD)	0.53	0.616	0.783	0.85 (TTM)	FS25 p7; MDAQ2 p17
Cash from operations	n.d.	8,663,484	9,009,146	11,504,329	FS25 p8; FSQ2 p5; repo
Dividends per share paid (CAD)	0.16	0.18	0.20	0.055/qtr in 2026	AR25 p5; MDAQ2 p18

* TTM sales include oral health of CAD 11,209,375 for four months only. n.d. = not disclosed in the documents read (or not computed here). 2023 sales are printed in the 2025 annual report highlights (AR25 p4), though the repo deep dive said they were not printed in the table it used.



Source: quarterly sales table, MDAQ2 p17. Q1 2026 includes one month and Q2 2026 a full quarter of Oral Science.

Oral Science and Thyconvi

- **Oral Science terms:** stated price CAD 25.5M = CAD 22.5M cash (CAD 0.2M of it via 12,666 RSUs) + 234,192 shares at a deemed CAD 12.81 (CAD 3.0M; fair value at closing CAD 3,474,460). Extra cash of CAD 2,008,646 was paid for excess working capital, of which CAD 147,296 came back in July 2026. Sellers get a contingent cash earn-out in 2027 based on 2025-2026 results, and royalties on one product until 2033 capped at CAD 6.0M. Contingent consideration was estimated at CAD 3,845,837 at Jun 30, 2026. Total purchase consideration CAD 31,481,647; goodwill CAD 3,796,739; intangibles CAD 19,083,833 [FSQ2 Note 5 p8-9; PR-C p1].
- **Pre-deal profile (release, not statements):** TTM to Sep 30, 2025 revenue "in excess of" CAD 30.0M and EBITDA "in excess of" CAD 4.0M; 6.33x EBITDA headline multiple [PR-S p1, p3]. Post-close, oral health added more than CAD 1.1M of Q2 net income before acquired-intangible amortization and more than CAD 1.5M of EBITDA [MDAQ2 p14]. Not used as owner cash.
- **Thyconvi** (levothyroxine oral solution) was approved by Health Canada on May 19, 2026; BioSyent Pharma holds the exclusive Canadian license [MDAQ2 p9]. The Q2 presentation times the full commercial launch for 2027 [PRES p14, p16]. No price, sales forecast or licensor name is disclosed; it is not in the model.

2. Owner-cash build (facts and arithmetic)

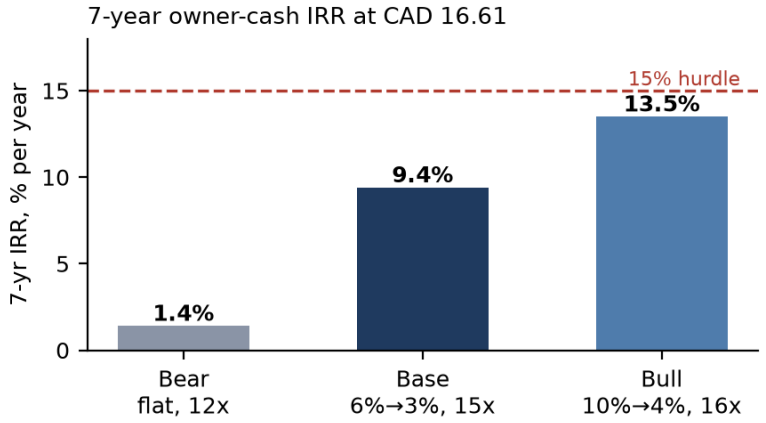
Line (CAD)	FY2025	less H1 2025	plus H1 2026	TTM Jun 30, 2026	Source
Cash from operations	9,009,146	(2,752,722)	5,247,905	11,504,329	FS25 p8; FSQ2 p5
Property and equipment additions	(54,044)	38,629	(44,602)	(60,017)	FS25 p8; FSQ2 p5
Intangible additions	(335,764)	93,497	(166,909)	(409,176)	FS25 p8; FSQ2 p5
Owner cash				**11,035,136**	Repo valuation.json
Diluted weighted shares (Q2 2026)				11,629,144	FSQ2 p4, p21
Owner cash per share				**0.948921**	Repo valuation.json

Treatment (repo convention, which we keep): the CAD 22,157,872 acquisition outflow is not maintenance capex; Oral Science cash is in for four months and is not annualized; net cash is not added; the denominator is the Q2 2026 diluted weighted average, which is higher than the 11,308,835 shares outstanding on Aug 20, 2026, so per-share owner cash is if anything conservative [repo deep dive, assumption ledger rows 2-6, 11-12].

3. Valuation: 7-year owner-cash IRR

Case	Growth yrs 1-5 [assumption]	Growth yrs 6-7 [assumption]	Exit multiple of yr-7 owner cash [assumption]	IRR at CAD 16.61	Entry price for 15% (our calc)
Bear	0%	0%	12x	1.4%	CAD 8.23
Base	6%	3%	15x	**9.4%**	**CAD 12.41**
Bull	10%	4%	16x	13.5%	CAD 15.41

IRRs: repo valuation.json (results) and thesis_card.json; we reproduce them at 1.41%, 9.36% and 13.54%. Entry prices: our calculation with the same cash flows.



Model convention and reproduction check

Cash flows are annual and end-of-year. Year 0 is the purchase at CAD 16.61. Owner cash per share starts at 0.948921, grows 6% a year in years 1-5 and 3% in years 6-7, and is paid out in full each year (no reinvestment credit). Year 7 also receives 15x that year's owner cash as the exit value, with no discounting within the year and no taxes or costs. The IRR solves for the rate at which the present value of the stream equals the price. Base stream per share: Y1 1.0059, Y2 1.0662, Y3 1.1302, Y4 1.1980, Y5 1.2699, Y6 1.3080, Y7 1.3472 + 20.2081 exit = 21.5553. That stream gives **9.36%**, which rounds to the repo's 9.4%. This matches the year-by-year figures in the repo deep dive ("IRR arithmetic").

Reverse-engineered entry price at a 15% base-case IRR

Discounting the same base stream at 15% gives **CAD 12.41 per share**, 25.3% below CAD 16.61. At that price the stock would trade at 13.1x trailing owner cash (7.6% owner-cash yield). The bull stream would need CAD 15.41, so at today's price even the bull case falls short. The bear stream would need CAD 8.23. These are outputs of our assumptions, not targets.

Sensitivity: IRR at CAD 16.61 by exit multiple and growth (yrs 1-5; yrs 6-7 fixed at 3%) [all assumptions]

Exit multiple	g = 0%	g = 3%	g = 6%	g = 8%	g = 10%
12x	2.1%	4.4%	6.8%	8.3%	9.8%
15x	4.7%	7.0%	**9.4%**	10.9%	12.5%
18x	6.8%	9.2%	11.6%	13.2%	14.8%

No cell reaches 15%; the closest is 14.8% (10% growth, 18x exit). The 0% column differs from the bear case (1.4%) because years 6-7 still grow 3% here.

Entry price (CAD) for a 15% IRR on the same grid [our calculation]

Exit multiple	g = 0%	g = 3%	g = 6%	g = 8%	g = 10%
12x	8.52	9.64	10.89	11.80	12.76
15x	9.66	10.96	**12.41**	13.46	14.59
18x	10.79	12.28	13.93	15.13	16.42

Only the 18x / 10% cell (CAD 16.42) comes close to today's price, and it is still below it.

Net cash cross-check (judgment)

Cash and investments CAD 12,236,790 less the term loan (CAD 2,000,000) and contingent consideration (CAD 3,845,837) = CAD 6,390,953, or about CAD 0.55 per diluted share (lease liabilities of CAD 1,140,622 are left in operations) [FSQ2 p3; repo deep dive]. The repo leaves this out of the model. If we take it off the price (CAD 16.06 paid for the operating stream), the base IRR is about 10.0%, which does not change the stance. The term loan was due to be repaid by Sep 30, 2026 [FSQ2 Note 15 p14]; repayment after Jun 30 is not confirmed in the documents read.

4. Capital allocation, share count and insiders (facts)

Item	Figure	Source
Shares at Apr 6, 2026 record date	11,437,090 common; one class; preferred nil at Jun 30, 2026	CIRC p17, p33; FSQ2 p17
Shares at Jun 30, 2026	11,340,335 outstanding (11,515,349 issued less 175,014 in RSU trust)	FSQ2 p16
Shares at Aug 20, 2026	11,308,835 outstanding; 73,466 options; 194,789 RSUs; 11,577,090 fully diluted	MDAQ2 p24
NCIB	Up to 800,000 shares, Dec 19, 2025 to Dec 18, 2026; 250,000 cancelled under it through Aug 20, 2026	CIRC p39; MDAQ2 p24
Buybacks since Dec 2018	About 3.4M shares for about CAD 26.5M (avg about CAD 7.91)	MDAQ2 p17
H1 2026 buyback	218,500 shares cancelled for CAD 3,083,180 plus costs	FSQ2 Note 18 p16-17
Dividends	CAD 0.20/share paid in 2025; CAD 0.055 quarterly in 2026; net paid H1 2026 CAD 1,243,392	AR25 p5; MDAQ2 p18; FSQ2 p5
CEO René Goehrum	2,241,950 shares (19.60%), incl. 1,087,761 via 1069867 Ontario Ltd. and 500,000 Aquiam shares he controls	CIRC p14, p17
Six director nominees	2,930,409 shares combined (repo sum of circular rows; Aquiam counted once); about 25.6%	CIRC p6; repo deep dive
CEO 2025 pay	CAD 783,588 (salary 380,333; RSUs 152,800; annual incentive 201,780; other)	CIRC p21

Judgment: insider ownership near 20% and a long buyback record at an average cost well below today's price are positives for alignment. The Oral Science deal moved the balance sheet from CAD 31.9M of cash and investments at Dec 31, 2025 [FS25 p8] to CAD 12.2M at Jun 30, 2026, so buyback capacity is lower than before.

5. Key risks (facts cited; weighting is our judgment)

- **License returns.** Canadian Combogesic rights were returned under a Sep 2025 transition agreement; distribution stopped in Jan 2026 [AR25 p19]. The same risk applies to FeraMAX, Tibella and in-licensed oral-health brands.
- **Competition in oral iron.** The company reports increasing competitive activity in Canadian oral iron, while FeraMAX is its anchor brand [MDAQ2 p11].
- **Margin mix.** Cost of goods rose to 29% of sales in H1 2026 from 23% in H1 2025, which the company ties to the oral-health mix [MDAQ2 p13]. 2025 gross margin was 77% vs 80% in 2024 [MDA25 p13].
- **Customer concentration.** One customer was 40% of net trade receivables at Dec 31, 2025 and 30% at Jun 30, 2026 [FS25 p19; FSQ2 p12].
- **Acquisition obligations.** 2027 earn-out (no formula disclosed) plus royalties up to CAD 6.0M to 2033; estimated together at CAD 3,845,837, not split [FSQ2 Note 5].
- **International and logistics.** Partner dependence; the company flags geopolitical uncertainty for Middle East FeraMAX shipments [MDA25 p16].
- **Model risk.** The trailing figure has only four months of Oral Science, and a single quarter's diluted share count; both can move per-share owner cash either way.

What would change the view

- **Toward buying:** the price at or below about CAD 12.41 with no change in fundamentals; or FY2026 and H1 2027 filings showing full-year Oral Science owner cash that lifts trailing owner cash per share enough that the base case clears 15% at the prevailing price, with gross margin no longer falling; or Thyconvi launch economics that the company actually discloses.
- **Toward a lower value:** another license return, FeraMAX growth stalling, a large earn-out payment, or new share issuance for deals.
- **Not a short:** the business is profitable, cash-generative and lightly levered; the issue is price, not quality.

6. What is still missing (not disclosed in the documents read)

Item	Status
CUSIP / ISIN	Not printed in the AR, FS, MDAs, circular, presentation or releases [repo deep dive, Human Review].
SEDAR+ issuer number	Not resolved; SEDAR+ returned a bot challenge to the repo agent [repo deep dive].
Brand-level dollar sales	Not disclosed; only brand growth rates and line totals. 2026 Canadian vs international pharma dollars given only as percentages.
Segment cash flow	No separate oral-health (or pharma) cash from operations line; segment revenue only [FSQ2 p23; MDAQ2].
Earn-out formula and cap	2027 earn-out based on 2025-2026 Oral Science results: no formula, no cap, and the CAD 3,845,837 estimate is not split from the royalty [FSQ2 Note 5].
Thyconvi economics	No price, volume, sales forecast or licensor name.
Term-loan repayment after Jun 30	Final CAD 2.0M payment was scheduled for Sep 30, 2026; no later filing read here confirms it.
Long-term guidance	No numeric guide found; the growth rates and multiples in this note are Magis assumptions.

7. Filings vs repo: reconciliation

We re-added the owner-cash inputs, the balance sheet items, share counts, insider holdings, CEO pay, 2025 sales split and the Oral Science terms from the PDFs. All match the repo. We found no figure in the filings that contradicts the repo's model inputs. Points to note:

- **Internal filing inconsistency (repo already flags):** MDAQ2 p19 says the company "repurchased 162,061" shares in H1 2026; FSQ2 Note 18 shows 218,500 shares cancelled, with CAD 162,061 as the share-capital reduction. We follow Note 18.
- **Excess working capital:** MDAQ2 p9 and PRES p9 say CAD 1.85M; FSQ2 Note 5 says CAD 2,008,646 paid on closing with CAD 147,296 returned in July (net CAD 1,861,350). The figures reconcile approximately; we use the statements.
- **NCIB start date:** CIRC p39 says the bid runs from Dec 19, 2025; MDAQ2 p24 counts 250,000 shares "between December 15, 2025 and the date hereof" (Dec 15 is the announcement date).
- **Buyback totals:** CIRC p39 counts 3,212,525 shares cancelled since Dec 2018 as of Apr 6, 2026; MDAQ2 p17 says about 3.4M through Aug 20, 2026. Different dates, not a conflict.
- **2023 sales:** the repo says exact 2023 sales are not printed in the table it used; AR25 p4 prints CAD 31,590,302, consistent with the 17% 2023-2025 CAGR in MDA25 p13.
- **Price:** CAD 16.61 is market data from the repo (Yahoo RX.V, Oct 26, 2026 close); it cannot be checked against the filings.

Appendix: sources

Key	Document (file in /workspace/biosyent_docs/ unless noted)
AR25	Annual_Report_2025.pdf - 2025 Annual Report (highlights PDF p4-5; product history p19)
FS25	FY2025_Financials.pdf - audited statements, year ended Dec 31, 2025 (income statement p7, cash flow p8)
MDA25	FY2025_MDA.pdf - 2025 MD&A (summary table p13; sales p15-16; EBITDA/NIAT p21)
FSQ2	Q2_2026_Financials.pdf - unaudited interim statements to Jun 30, 2026 (balance sheet p3; income p4; cash flow p5; Note 5 p8-9; Note 15 p14-15; Note 18 p16-17; Note 20 p21; segments p23)
MDAQ2	Q2_2026_MDA.pdf - Q2 2026 MD&A (Oral Science/Thyconvi p9; TTM sales p10; Canadian pharma and competition p11; COGS p12-13; oral-health contribution p14; quarterly table and buybacks p17; dividends p18; share data and NCIB p24)
PRES	Q2_2026_Presentation.pdf - Q2 2026 results presentation (p9, p14, p16)
CIRC	Circular_2026.pdf - management information circular, record date Apr 6, 2026 (nominees p6; ownership p14, p17; pay p21; NCIB p39)
PR-S / PR-C	OralScience_Signing_PR.pdf (Feb 9, 2026) / OralScience_Closing_PR.pdf (Mar 2, 2026)
Repo	github.com/magis-capital-partners/single-stock-investments, branch cursor/add-biosyent-rx-v-f025, RX.V/research/: deep_dive_2026-10-27.md, valuation.json, thesis_card.json (read Oct 27, 2026)